

rewarding the bulls while making downside protection seem a fool's errand, or at least an unnecessary waste. Fear of missing out (FOMO) replaced the fear of loss. The sole focus of most investors became earning a high return *on* capital, rather than ensuring the return *of* capital.

Capital-market manias regularly occur on a grand scale: Japanese stocks in the late 1980s, internet and technology stocks in 1999–2000, subprime mortgage lending in 2006, and high-growth though not yet profitable stocks, fixed income investments, and cryptocurrencies in 2020 and 2021. It's hard to bet against bubbles when you're in one; even experienced investors can wither under the market's relentless message that they are wrong. The pressure to succumb is enormous; many investment managers fear they'll lose business if they stand too far apart from the crowd or underperform for very long. FOMO can be a powerful force, but value investors must maintain a contrary stance as others around them lose their heads.

These days, value investors must also consider the propensity of the Federal Reserve to intervene in financial markets at the first sign of trouble. Amid severe turbulence, the Fed now typically lowers interest rates to prop up securities prices and restore investor confidence. When the economy slips into a downturn, the Fed quickly moves to buy bonds or cut rates. At such moments, Fed officials are trying to maintain orderly capital markets, but some money managers view Fed intervention as a virtual license to speculate. Aggressive Fed tactics to prop up markets, originally referred to as the "Greenspan Put" (and now the "Powell Put"), create a growing moral hazard that encourages speculation while prolonging and even exacerbating overvaluation. While Ben Graham recommended focusing on the bottom-up fundamentals of specific investments and largely ignoring macro factors, the Fed has become the 800-pound gorilla, something that cannot be ignored and a presence that tends to get its own way. In 2022, the Fed